

Poverty

Aug

Larale
Mushatay

Absolute and relative poverty

Absolute poverty is where people are defined as poor by a particular standard. This could be a lack of basic human needs, such as water, food and shelter. It could be only having a certain amount of money to live on. The world bank defines absolute or extreme poverty as having to live on less than US\$1.90 per day.

Whereas absolute poverty is measured against a particular standard, relative poverty involves making a comparison between poor people and rich people in a country. It relates to the existence of economic inequality.

The causes of poverty

Unemployment :- Poverty can be caused by people being unable to obtain regular employment, especially in those countries that do not have a social welfare system paying unemployment benefits to those out of work.

Low wages :- Even if a person can obtain a job, the wages paid by an employer may be very low, especially in those countries that do not have a national minimum wage.

Illness:- People who are regularly ill are going to find it difficult to keep a job. People suffering from mental and physical health problems are likely to find it particularly difficult to avoid poverty. This will be a problem in those countries that do not have a national health service.

Age:- Old age is often closely associated with poverty, especially in those countries that do not pay pensions to the elderly.

Policies to alleviate poverty and redistribute income

Economic growth:- If there is a sustained economic growth in a country over a number of years, the population will have access to more goods and services (as long as the rise in output is greater than rise in population). This will lead to an increase in living standards and a decrease in poverty, although the extent to which this happens will depend on the equality of income and wealth in a country.

Improved education:- Improvements in the quality of education, and also the widening of access to education, will improve the quality of the labour force, enabling people with the right qualifications to gain employment and increase their income. Improved training facilities will also alleviate poverty as those people with the

right skills will be able to gain employment

More generous state benefits :- Improved social welfare and social security schemes will enable more generous state benefits to be paid out to ensure that the unemployed, the old and the ill receive a reasonable income.

Progressive taxation :- Taxes that are progressive not only take a higher amount of tax from the more highly paid, but take a higher proportion of their income in tax; such taxation will have the effect of redistributing income from the rich to the poor.

National minimum wage :- A national minimum wage could be introduced, or increase in those countries that already have a national minimum wage, to ensure that employers are legally prevented from paying very low wages to workers. It is possible, however, that the introduction of such a wage, pushing up the cost of labour, could lead to firms employing fewer workers.

Other policies :- The government could provide food subsidies to keep down food prices or provide merit goods such as health care to help reduce the extent of illness.

Questions

- Q1 Define absolute poverty ? 2
- Q2 Define relative poverty ? 2
- Q3 Explain the causes of poverty ? 8
- Q4 Explain the policies to alleviate poverty and redistribution of income ? 8